

Olevel

Chp:- Inflation

Cost push Inflation

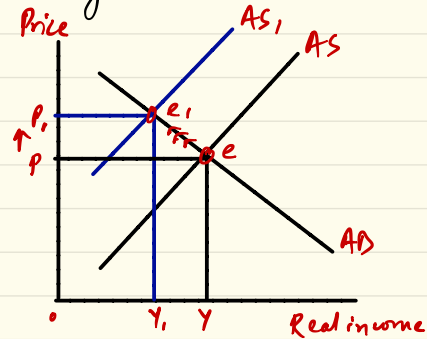
Amal

Laraka mustafaz



② cost push inflation

$\Downarrow$
 cost $\uparrow$
 AS $\downarrow$
 Shortage
 prices $\uparrow$
 inflation



Examples :-

- * Indirect tax $\uparrow$
- * Subsidies removed
- * Rent, wages, interest $\uparrow$
- * Imported inflation
- * Trade union power

$\Rightarrow$ (Imported inflation)

Pakistan $\downarrow$ $\leftarrow$ Export $\rightarrow$ USA $\downarrow$
 Payments $\rightarrow$ X prices $\uparrow$
 X Qty $\downarrow$
 X (TR) $\uparrow$
 Pakistan is importing a product from USA, which is a raw material, in short run, Pakistan is faced with no close substitute i.e. inelastic demand, in this situation USA faced inflation! Pakistan's TE $\uparrow$ as it will be paying more than before
 TE $\uparrow \rightarrow$ cost $\uparrow \rightarrow$ AS $\downarrow \rightarrow$ prices $\uparrow$

wage price spiral

$\Downarrow$
Trade unions
 $\swarrow$ $\searrow$
Employers Employees
 In return of wage $\uparrow$, workers need to raise productivity $\Downarrow$ wages $\uparrow$ productivity didn't match cost $\uparrow$ AS $\downarrow$ Prices $\uparrow \Rightarrow$ worker's real income started falling again

* When workers don't match in terms of productivity after the increase in wage, cost will increase which will cause prices to increase. Workers will see them worse off again as real income will decrease! The reason became the reason again, where the asked for higher wages to deal with inflation, that act caused inflation again!

$\Downarrow$
 They will ask for higher wage!
 $\Downarrow$
 The cycle continues...!

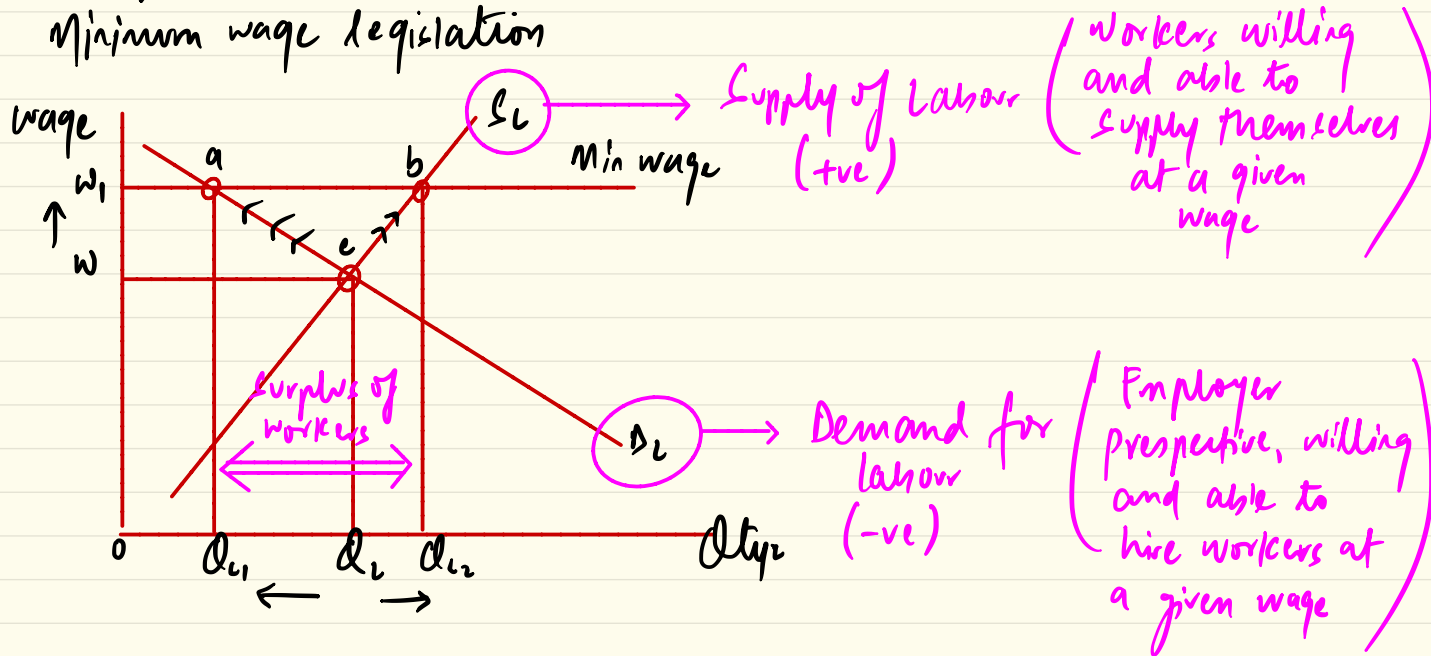
Trade union actions results in Unemployment



Government intervention



Minimum wage legislation



Devaluation/Depreciation

X prices ↓

X Qty ↑

X (TR) ↑

Incomes ↑

AD ↑

SR:- Multiplier

Mild inflation

LR:- Hyper

LRAS diagram

Demand pull inflation

M prices ↑

M Qty ↓

PED:- Inelastic

e.g. Raw material

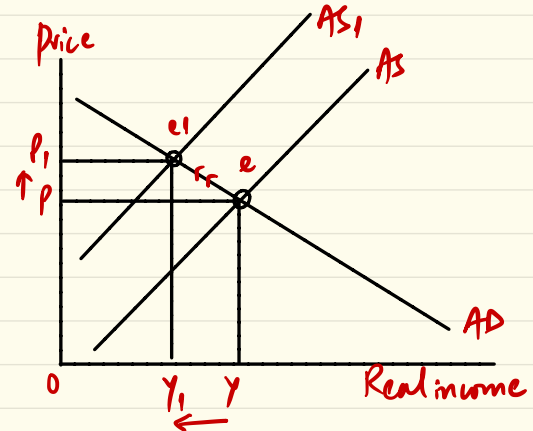
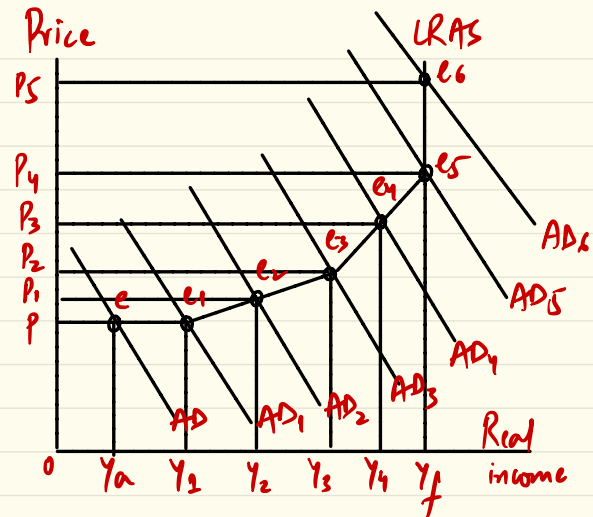
η(TE) ↑

Cost ↑

AS ↓

inflation

Cost push inflation



Note:-

Depreciation, fall in the value of country's currency, whereas devaluation is deliberate reduction in the value of country's currency. This causes export prices to fall, which increases the demand for exported goods, causing a rise in export revenue, generating income and therefore increases aggregate demand, which in long run increases price level, known as demand pull inflation.

As depreciation reduce prices of exported goods, it makes imported goods expensive and if the demand for imported goods is inelastic, e.g. raw material, this rise in price will directly increase cost of production which will increase price level, known as cost push inflation.

Question

Marks:- 34 !

- Q1 Define cost push inflation, use diagram? 6
- Q2 Explain imported inflation? 4
- Q3 Explain how trade union actions results in cost push inflation, involve wage price spiral? 6
- Q4 Explain how actions of trade union can result in unemployment? 6
- Q5 Explain how devaluation/depreciation can result in cost push inflation and demand pull inflation? 8